

H2 Economics Case Study Practice 2

Macroeconomics — Short-Answer Questions (2–6 marks)

H2 Economics 9570 | Compiled by Jeremy Lim

Instructions to students. This booklet contains three case studies covering contrasting macroeconomic problems: the energy-price shock and stagflation risk in the Eurozone, the deflation and demand deficiency problem in China, and the housing-led monetary tightening cycle in Australia. Each case study contains an extract and a data table, followed by short-answer questions ranging from 2 to 6 marks. Write your answers in the lined spaces provided. Use the mark allocation as a guide to depth: 2-mark questions require a precise definition or identification with reference to the data; 4-mark questions typically require a two-step explanation; 6-mark questions require a developed analytical response supported by an AD/AS diagram or relevant data.

CASE STUDY 1. Energy Shock and Stagflation Risk in the Eurozone

Table 1.1: Selected Eurozone Macroeconomic Indicators, 2019–2023

Indicator	2019	2020	2021	2022	2023
Real GDP Growth (%)	1.6	-6.1	5.9	3.4	0.4
HICP Inflation, annual (%)	1.2	0.3	2.6	8.4	5.5
HICP Energy Inflation (%)	1.1	-6.8	13.0	37.0	-2.0
ECB Deposit Facility Rate, year-end (%)	-0.50	-0.50	-0.50	2.00	4.00
Unemployment Rate (%)	7.6	8.0	7.7	6.7	6.5
Consumer Confidence Index	-7.0	-14.0	-8.0	-22.0	-16.0

Source: Adapted from Eurostat and European Central Bank.

Extract 1.1: Europe's stagflation scare

The Eurozone economy was struck by a severe terms-of-trade shock in 2022 when Russia sharply cut natural gas flows to Europe. Wholesale gas prices on the Dutch TTF benchmark rose more than sevenfold at their peak, and electricity prices followed. Energy makes up a smaller share of the consumer basket than food or services, but the pass-through to producer costs and household bills was so large that headline HICP inflation surged to 8.4 per cent in 2022, the highest in the history of the single currency.

The shock had two distinct effects. First, household real incomes were eroded, forcing many families to cut back on discretionary spending. Second, energy-intensive industries, particularly chemicals, fertiliser, glass, and aluminium, faced sharp increases in production costs. Several large producers idled European capacity and relocated production to North America, where natural gas remained cheap. Industrial output in Germany, the bloc's largest economy, fell for four consecutive quarters.

The European Central Bank (ECB) ended a decade of negative interest rates in July 2022 and raised its deposit facility rate by 450 basis points in fourteen months. ECB President Christine Lagarde argued that decisive tightening was necessary to prevent the energy-cost shock from being embedded into wage and price expectations. Critics warned that the ECB risked tightening into a recession that energy supply, not excess demand, had caused.

Source: Adapted from The Economist, 2 December 2023.

Question 1

[2 marks]

With reference to Table 1.1, describe the change in Eurozone HICP energy inflation between 2020 and 2022.

Question 2

[2 marks]

Define “stagflation” and identify one piece of evidence from Table 1.1 that suggests the Eurozone was at risk of stagflation in 2022.

Question 3

[4 marks]

With the aid of an AD/AS diagram, explain how the 2022 surge in energy prices would generate stagflation in the Eurozone.

Question 4

[4 marks]

Using evidence from Extract 1.1, explain how the energy shock could permanently lower the Eurozone's potential output.

Question 5

[6 marks]

Explain two reasons why contractionary monetary policy may be only partially effective in tackling a supply-side inflation shock of the kind described in Extract 1.1.

Question 6

[6 marks]

Explain how a targeted fiscal subsidy on household energy bills could help to mitigate the welfare effects of the energy shock described in Extract 1.1.

CASE STUDY 2. Deflation and Demand Deficiency in China

Table 2.1: Selected China Macroeconomic Indicators, 2019–2023

Indicator	2019	2020	2021	2022	2023
Real GDP Growth (%)	6.0	2.2	8.4	3.0	5.2
CPI Inflation (%)	2.9	2.5	0.9	2.0	0.2
PPI Inflation (%)	-0.3	-1.8	8.1	4.1	-3.0
Household Savings Rate (%)	29.9	34.1	31.4	33.5	31.9
Fixed Asset Investment, growth (%)	5.4	2.9	4.9	5.1	3.0
Property Investment, growth (%)	9.9	7.0	4.4	-10.0	-9.6
Youth Unemployment Rate (%)	11.6	14.3	14.3	16.7	21.3

Source: Adapted from National Bureau of Statistics of China and People's Bank of China.

Extract 2.1: China slides into deflation as recovery falters

China's consumer price index turned negative on a year-on-year basis in July 2023, the first time in over two years, and producer prices had been falling for nine consecutive months. Unlike most major economies emerging from the pandemic with elevated inflation, China faced the opposite problem: persistent demand deficiency. Household consumption remained weak even after the lifting of zero-Covid restrictions in late 2022, and the unwinding of a multi-decade property boom weighed heavily on private investment and household wealth.

The property sector, which at its peak contributed around 25 per cent of GDP including upstream and downstream activities, has been in retreat since 2021. Property developers such as Evergrande and Country Garden defaulted on offshore debt, and new home sales fell for two consecutive years. Falling house prices weakened household balance sheets, and high precautionary savings remained elevated.

Policy responses have been cautious. The People's Bank of China cut policy rates only modestly and the Ministry of Finance held back from launching large household-targeted stimulus, citing concerns over local government debt and currency stability. Some economists warned that the longer demand deficiency persisted, the greater the risk that China would slide into a "debt-deflation trap" similar to Japan's lost decades.

Source: Adapted from Bloomberg, 9 November 2023.

Question 1

[2 marks]

Define "deflation" and identify one piece of evidence from Table 2.1 that China experienced deflation in 2023.

Question 2

[2 marks]

With reference to Table 2.1, describe the trend in China's youth unemployment rate between 2019 and 2023.

Question 3

[4 marks]

Using evidence from Extract 2.1, explain how the contraction of the property sector contributed to demand deficiency in China.

Question 4

[4 marks]

Explain two reasons why sustained deflation is undesirable for an economy.

Question 5

[6 marks]

With the aid of an AD/AS diagram, explain how an expansionary fiscal policy could be used to combat demand-deficient deflation in China.

Question 6

[6 marks]

Explain two reasons why monetary policy may be ineffective in addressing China's demand-deficiency problem. Refer to Extract 2.1 in your answer.

CASE STUDY 3. Housing, Household Debt, and Monetary Policy in Australia

Table 3.1: Selected Australia Macroeconomic Indicators, 2019–2023

Indicator	2019	2020	2021	2022	2023
Real GDP Growth (%)	1.9	-2.1	5.2	3.7	2.0
CPI Inflation (%)	1.6	0.9	2.9	6.6	5.6
RBA Cash Rate, year-end (%)	0.75	0.10	0.10	3.10	4.35
Household Debt to Disposable Income (%)	188	192	196	188	184
Share of Mortgages on Variable Rates (%)	66	60	55	65	70
Unemployment Rate (%)	5.2	6.5	5.1	3.7	3.7
House Price Index, annual change (%)	2.0	6.0	22.0	-5.3	8.1

Source: Adapted from Australian Bureau of Statistics and Reserve Bank of Australia.

Extract 3.1: Australia's mortgage cliff and the RBA's dilemma

Australian households carry one of the highest debt-to-income ratios in the developed world. Most of that debt sits in residential mortgages, and a distinctive feature of the Australian market is the high share of mortgages priced on variable rates, which adjust automatically when the Reserve Bank of Australia (RBA) changes the cash rate. This makes the monetary transmission mechanism in Australia unusually fast: a rate hike feeds directly into mortgage repayments within weeks rather than years.

Between May 2022 and November 2023, the RBA raised the cash rate from 0.10 per cent to 4.35 per cent, the steepest tightening cycle in three decades. The median mortgage holder saw monthly repayments rise by roughly 50 per cent. The Treasury estimated that around 880,000 fixed-rate mortgages originated at ultra-low rates during the pandemic would roll over onto variable rates in 2023 and 2024, an event the financial press dubbed the “mortgage cliff”. Discretionary household spending slowed sharply, and retail volumes fell for three consecutive quarters.

Yet underlying inflation remained above the RBA's 2–3 per cent target band. The labour market was tight, services inflation was sticky, and rents rose sharply due to a chronic shortage of housing supply. RBA Governor Michele Bullock acknowledged the trade-off: tightening further risked recession through the household debt channel, but pausing risked allowing inflation expectations to become entrenched.

Source: Adapted from Australian Financial Review, 12 February 2024.

Question 1

[2 marks]

With reference to Table 3.1, compare Australia's CPI inflation rate in 2022 with that in 2019.

Question 2

[2 marks]

Define the “monetary transmission mechanism” and identify one channel through which it operates.

Question 3

[4 marks]

With reference to Extract 3.1, explain why the monetary transmission mechanism is unusually fast in Australia compared with other economies.

Question 4

[4 marks]

Explain two reasons why high household debt could make an economy more vulnerable to a recession when the central bank raises interest rates.

Question 5

[6 marks]

With the aid of an AD/AS diagram, explain how the RBA's increase in the cash rate from 0.10 per cent to 4.35 per cent would reduce inflation in Australia.

Question 6

[6 marks]

Explain two reasons why monetary policy alone may be insufficient to bring Australia's inflation back to the RBA's 2–3 per cent target band. Refer to Extract 3.1 in your answer.

End of Booklet